

TABLE 2—BORROWING LIMITS AND CUMULATIVE INCREASE IN LIMITS BY ENTRY COHORT

Entry cohort	Loan limit at entry	Increase in total loan limit relative to 2005 cohort by years since entry		
		1	2	3
2005 and earlier	\$2,625	\$0	\$0	\$0
2006	\$2,625	\$0	\$0	\$2,000
2007	\$2,625	\$1,000	\$3,000	\$5,000
2008	\$3,500	\$3,875	\$5,875	\$7,875
2009 and later	\$5,500	\$5,875	\$7,875	\$9,875

Notes: 2005 cohort: 2004–2005 entry cohort. The second through fourth columns show the difference in the total borrowing limit (relative to 2005 entrants) by years since college entry for a student who reenrolls and borrows the maximum available loan each year assuming students enrolled for four consecutive years.

year.¹⁷ Texas provides a near-ideal setting to study the effects of student loans because of the large size of the higher education sector, diversity of institutions, and similarities in student and school characteristics to national averages. Specifically, Texas is the second-largest state in terms of college enrollment, containing 8 percent of all postsecondary students in the United States in recent years (US Department of Education 2019). The state’s large public college system has 60 public community colleges and 37 public universities, which, combined, served more than 1.2 million students in fall 2018 (Texas Higher Education Coordinating Board 2019). Additionally, Texas is similar to the country as a whole in terms of undergraduate tuition, household income, educational appropriations per student, and educational attainment but has slightly lower graduation rates and a higher fraction of Hispanic enrollees (online Appendix Table B.1).

The Texas data contain student-level information on college enrollment, credits attempted, degree receipt, and financial aid (grants; student loans, including private and other nonfederal loans; and work-study aid).¹⁸ Importantly, we observe whether and how much each student borrows on an annual basis and can distinguish between loans from different sources. Student-level records are linked to Texas Workforce Commission (TWC) data, which include quarterly earnings for individuals employed in jobs covered by unemployment insurance (UI) in Texas.¹⁹

Our main analysis sample includes first-time college students who entered college in the 2001 through 2008 academic years.²⁰ This period spans the first year in which the Texas higher education data are available through the last cohort who entered before the start of the Great Recession. We observe students’ education and labor market outcomes for at least 10 years after the year they enter college. We focus on dependent students, who make up the majority of undergraduate students

¹⁷ We obtained access to the Texas administrative data through the University of Houston Education Research Center. Online Appendix Section B.1 contains additional details.

¹⁸ Students enrolled in private, nonprofit universities are included in the data starting in 2004. Our main specification excludes nonprofit students, but we show that our estimates are robust to their inclusion.

¹⁹ UI records cover employers who pay at least \$1,500 in gross wages to employees or who have at least one employee during 20 different weeks in a calendar year. We winsorize earnings at the ninety-ninth percentile.

²⁰ Although the Texas administrative data contain an indicator for first time in college (FTIC) status, this information is incomplete. Our sample includes students listed as FTIC when they first appear in the dataset and a subset of students who are never flagged as FTIC: those classified as first-year students and not listed as transfer students when first observed and who first enroll after the first year in our dataset (2001). Our estimates are robust to limiting our sample only to students listed as FTIC at entry.